

An Urban Regeneration Regime in China: A Case Study of Urban Redevelopment in Shanghai's Taipingqiao Area

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Summary. This article investigates Taipingqiao urban redevelopment projects in Shanghai that have conserved the traditional 'Shikumen' architectural form with the goal of exploring the driving-forces behind Shanghai's spatial restructuring and to shed light on the new mechanisms for public-private partnership evolving in China. A model called a 'rent gap seeking regime' (RGSR) is proposed to explain the mechanisms behind China's urban redevelopment. It is found that the logic of capital accumulation has dominated the reshaping of Shikumen's spatial forms and has been transformed into symbolic real estate values. It is argued that a pro-growth coalition between district government and foreign capital emerged during this process of urban restructuring; the paper analyses the features of how this coalition exercises power. Finally, based on empirical research, the paper engages Western regime analysis in a theoretical dialogue.

1. Introduction

In the year 1988, the non-gratuitous transfer of land use rights came into effect in China. Since then, more and more cities have got involved in planning for urban redevelopment, a trend especially visible in the city of Shanghai. Shanghai's urban redevelopment agenda has emphasised property development. In such situations, old buildings are inevitably demolished and replaced by office blocks and multistorey dwellings. However, in the late 1990s, Xintiandi (XTD), one of the urban redevelopment projects in the Taipingqiao area of Luwan district, Shanghai, suddenly made a gesture towards preserving traditional architecture—namely, the *Shikumen*. Measuring 52 square hectares, the Xintiandi was a sufficiently large development project to become a pioneering force in

the overall urban redevelopment of downtown Shanghai.

Xintiandi (hereafter referred to as 'XTD') is an architectural complex of *Shikumen* lanes preserved through the urban redevelopment of Taipingqiao in Shanghai. This initiative emerged from co-operation between Hong Kong developers and the Luwan district government. Such an extreme transformation in spatial forms aroused our curiosity, especially about the roles played by the different parties and the mechanisms of co-operation that helped them to achieve their goals. Addressing such issues, He and Wu (2005) have explained the project from the perspective of 'property-led regeneration' (Turok, 1992), arguing that the pro-growth coalition, referred to here as a 'growth machine', was itself

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shaped in the process of extracting the exchange value from such spaces. Starting from this premise, this paper aims to investigate further the mechanisms of public–private partnerships, as well as to examine the profit-seeking aspects of this special urban redevelopment project. We believe that this type of study will be helpful for exploring some of the driving-forces and the power structure behind China's urban land development (Deng and Huang, 2004; Ding, 2004; He and Wu, 2005; Ho and Lin, 2003; Hsing, 2006; Li, 1997; Tang, 1994; Wu, 1997, 1999, 2000, 2001; Yeh and Wu, 1996; Zhang, 2002; Zhu, 1999, 2002, 2004, 2005) as well as accounting for urban spatial restructuring in different contexts (Atkinson, 2000; Badcock, 1997; Betancur, 2002; Carmon, 1999; Fainstein, 1994; Hackworth, 2001; Hamnett, 2003; Harvey, 1978; Hastings, 1996; Hodos, 2002; Lees, 2003; Logan and Molotch, 1987; Lowe, 2005; Slater, 2004; Slater *et al.*, 2004; Smith, 1987a, 1987b, 1996, 2002; Turok, 1992).

2. Revisiting Regime Analysis in the Context of Urban China

Foreign investors, local governments and 'government enterprises' have been engaged in a wrestling match in Shanghai's real estate development since the 1992 guidelines allowing the leasing of land. It is indeed a significant point, as indicated by Wu (2000), that the co-operation among investors, local governments and government enterprises exerts a powerful influence on urban development in China. Our question is, how might we further conceptualise the mechanisms of urban redevelopment under the umbrella of public–private partnership in China's context?

Zhu (1999, 2002), for instance, adapted the concepts of the urban regime and growth machine to the analysis of urban development agencies in China (Logan and Molotch, 1987; Stone, 1989). He suggested that, as coastal cities in China veer towards a market economy, a great deal of profit potential from urban land is released by the planning

system, becoming a source of competition between national and local governments, developers and each 'work unit'. Cities in China are establishing informal, local urban regimes and, because state enterprises are responsible for social services and welfare, local governments have to subsidise these programmes by offering cheap—or even free—land to developers. Before the 1988 regulation permitting land leasing with compensation, a great deal of land had been transferred to state enterprises gratuitously, by fiat. Developers with no land began to contact state enterprises that did have land to propose co-operative development projects. Such agreements make developers responsible for all the expenses, while the state enterprises contribute their right to the use of specific land. Under a big umbrella of gradualist urban land reform, a coalition of government and private enterprises was formed for the purpose of urban development, indicating reciprocity between private enterprises and local governments, in which companies are responsible for construction expenses.

This model of an informal urban regime (IUR) is very helpful in providing a clear analytical framework for exploring the issue of urban redevelopment in China. However, it seems that Zhu's (1999) adoption of urban regime theory is more about 'descriptive regimes' (Dowding, 2001) and does not really grasp the essential point of the theory—the characteristics of how power is exerted in the co-operative relationships that allow urban development. In short, urban regime theory's focal point is to investigate the *power structure* that has been established in order to carry out local public agendas. The theory addresses the power exercised by the different actors, the way they co-ordinate for mutual benefit and the ways they mould developing prospects, reviewing long-term partnership mechanisms in particular (Stone, 1989, 1993, 1998; Stoker, 1995; Ward, 1996). As a theory intended to analyse the power structures of urban governance, the meaning of 'power' in urban regimes is not simply to impose control on the masses, but rather, to get a certain agent to achieve a predictable political result. In this sense, Stone

(1989) further proposes four types of power: systemic power—superior power emanating from the social structure of enterprises; command power—the power to dominate revealed in conflicts with an enemy; bargaining power—power to repulse or subdue an enemy with a temporary coalition; and pre-emptive power—the ability to occupy, maintain and use strategic positions in order to set agendas. He believes that when urban regimes are formed that include public and private sectors, they need not only systemic and command powers, but also the ability to exploit their strategic position, forming a long-term, efficacious coalition partnership that guides local development. This kind of leadership requires pre-emptive power and, once an urban regime has been established, it will be a potent and enduring force in the politics and economics of urban governance.

This public–private co-operative style, with features of Western urban development mechanisms, has had a great impact upon urban development in China. However, our analytical hypothesis concerns the features of governance in China. We believe that there are still some aspects that differ essentially from the Western context in which urban regime theory was originally elaborated. This paper does not take the risk of decontextualisation, of bringing Chinese and Western genres of urban regimes into categorical comparison (Stoker and Mossberger, 1994; Wood, 2004). On the contrary, we are guided by a primary concern with ‘what stays the same and what accounts for differences’ as we consider the role played by the ‘pro-growth coalition’ in the historical and spatial context of the Taipingqiao urban redevelopment project, focusing closely on features of how power is exercised in public–private co-operative efforts.

To satisfy this purpose, we propose an analytical model called a ‘rent gap seeking regime’ (RGSR) that tries to explain the dynamics of urban development and the collaboration between governments and foreign investors in China in the context of institutional transformation since the 1990s. First, the model of the RGSR emphasises

that urban regimes in China can be maintained to achieve certain goals of urban development under specific sets of institutional arrangements. These arrangements include the levying and distribution of land acquisition fees, the devolution of authority to district governments and their co-operation with city government, accompanied by index pressure on the districts’ cadre members regarding financial revenues, construction rates, policy implementation and so on (Whiting, 2001). It can be said that a RGSR is a particular mode or governance mechanism for public–private co-operation that results from the combination of the arrangement of institutions and the goals of city government.

Secondly, this model incorporates the concept of the ‘rent gap’ (Hammel, 1999; Smith, 1987b, 1996) to explore the process of ‘property-led regeneration’. Furthermore, we propose that the pursuit of a rent gap originated in the easing of ‘monopoly rents’ (socialist-controlled rents), which fuelled the co-ordination among relevant parties for the exercise of power. The co-operation of government and business in this process of leasing land and relocating its former residents can demonstrate the characteristic informal agreements and exercise of power described by the theory of urban regimes, including the ‘relational capital’ of developers with local governments, the ‘systemic power’ possessed by the developers and ‘commanding power’ given to the district government through specific mechanisms of the state machinery. It can also illustrate the ‘bargaining power’ of the pro-growth coalition created by specific organisational arrangements, during the process of co-ordination and communication in the planning and design stages, as well as the operation of ‘pre-emptive power’ as an aspect of persuasion in the planning process.

Based on this analytical framework, we focus our empirical study on the interplay of the four forms of power mentioned earlier—ways in which power structures reproduce themselves and maintain stability. The following analysis can be divided into four parts to illustrate how this ‘urban regeneration

regime' works. In the first part, the progression of urban redevelopment policy in downtown Shanghai is introduced from a historical perspective. The second part provides a concrete example of a co-operative arrangement between real estate capital and a local government. In the third part, the logic behind this development project that appears to preserve the historical architecture is analysed in terms of the negotiation processes that shape spatial forms. The fourth part of this paper explores the social effects of the transfer of use rights and the relocation of residents. In the conclusion, a theoretical dialogue is developed.

3. The Policy Context of Urban Redevelopment in Shanghai

Downtown Shanghai was originally constructed during an era of foreign concessions in treaty port cities and foreign investors and domestic developers have once again funded the co-operative renovation of *Shikumen* in recent years. The concession areas, with styles of architecture influenced by the European countries that occupied them, became a special cultural feature of Shanghai in the early 20th century. *Shikumen* partially met the rapidly increasing housing needs at that time, ending up as the city's predominant style of housing. The uniqueness of *Shikumen* lies in its fusion of the Southern Chinese building style with the residential architecture of modern Britain. After 1937, however, owing to the Sino-Japanese war, the concession became 'a lonely island of prosperity', and the structural layout of residential areas in *Shikumen* went through a process of reconfiguration. *Shikumen* became residential districts packed tight with lower-middle-class people, resulting in a serious deterioration of the quality of life. Moreover, housing problems left behind from the concession era worsened over the course of the Japanese occupation and the civil war that led up to the revolution in 1949. Although it seems that, after the revolution in 1949, the city government tried to improve its housing services, it was nevertheless an inefficient effort, especially since China's government was

focused on developing its productive industries (Chan, 1992).

In 1978, a new vision to guide Shanghai's spatial development began taking shape. This process can be divided into two historical stages—the 1980s and the 1990s—which are dealt with separately for the purpose of discussion. In the early 1980s, Shanghai was planned to be the multifunctional economic centre in China, so urban redevelopment and housing problems in the central area emerged as major tasks the city government had to confront. City government in 1980 formulated a policy for redevelopment of the old city centre and proposed that future urban redevelopment projects should combine with enlarging public green space. To this end, 23 plots of land were designated as areas for urban redevelopment. From the beginning of this reform to the early 1990s, the city government's strategy for facilitating housing renovation consisted of a devolution of authority to each district government, conferring greater responsibility for housing improvement on local entities, allowing district governments to lease properties and encouraging mainland Chinese property companies to get involved in urban redevelopment projects (Luwan District Government, 1998).

With foreign investment in the 1980s being channelled elsewhere (for example, in Senzheng), urban redevelopment made slow progress. In 1988, the central government revised its regulations governing land use and a system for leasing land gradually matured. Shanghai city government gradually came to the realisation that, if improving housing depended exclusively on local actors, it would be inefficient. It therefore began to encourage foreign investment in the market in leased lands, which in time brought about positive changes, especially after 1992. From 1992 to 1997, 23 million square metres of various types of housing were demolished. The total volume of demolition over 5 years was 3 times that in the 42 years from 1949 to 1991 (Shanghai Urban Planning Bureau, 1999). In this period, urban redevelopment mostly took the form of 'property development' and 'municipal construction' projects. Property

development was brought about by introducing staggered land premiums to developers. The Taipingqiao urban redevelopment project offers an example of this practice.

A central goal of the 1990s in Shanghai was 'urban renewal project 365', particularly intended for dangerous buildings. In Shanghai's Sixth Congress of the local CPC in 1992, the authority proposed that 3.65 million square metres of shanty housing be renovated by the end of the 20th century, providing a living area of 10 square metres per person, 70 per cent of houses being *en suite*. To meet the targets laid down by the '365 plan', Shanghai municipality's city and district governments joined forces and proceeded with urban renewal via land rentals and property development, with the basic principle being 'complete removal' both of the older housing and the people who inhabited it. This plan was executed by the district governments that had been given responsibility for urban redevelopment. Under the 'two levels of government, two levels of management' strategy, approval for building demolition and land use for all plots of land included in '365' were to be recorded by each district government, to be compiled and submitted to the municipal government's Housing and Land Bureau, with authority for demolition delegated by the municipal government to the district governments.

With the progress of institutional reforms and the injection of foreign investment after the 1990s, district governments gradually assumed the right to examine and approve detailed plans, and to negotiate prices for the transfer of land use rights for urban development. By the year 2001, district governments had even acquired the right to sign a contract of equity for the transfer of land to foreign investors without approval from Shanghai's municipal government. With this devolution of authority over land management from the municipal government to district governments, working relationships with foreign investors were transformed.

Concretely speaking, procedures for examining and approving land for use in urban

redevelopment projects have given district governments the practical authority to decide whether or not foreign investment companies seeking authority to use the land can obtain a lease. After district governments issue permits for construction to the foreign investment companies, district governments and foreign investors then go through a process of compiling information for 'detailed controlled planning'. This includes the rate and extent of infrastructure and property development. Ordinarily, district governments and foreign investors enter into a process of 'negotiation', after which they present their plans to the city government. Generally speaking, if the location is not critical, the city government, which must give final approval, will not have many objections. After passing examination and obtaining approval, district governments, in accordance with 'detailed planning controls', can then 'negotiate' with foreign investors for rights to the potential profits, and over the terms of the leasing contracts. The contracts are primarily concerned with settling on a 'land acquisition fee' which includes both compensation for relocation and for the accompanying infrastructure expenditure. After all the terms of the leasing contract are decided, district governments then pass it up to the city government, along with a permit for construction and land certificates to be issued by the district government to the foreign investment enterprise. Lastly, a district government then issues the foreign enterprise with a permit for the construction plans and the whole development project is launched.

From this description, it is clear that the devolution of authority from the city government to the district governments of Shanghai has allowed them actually to play the role of first-line co-operator with foreign investors. Throughout the whole process of negotiating investment, it is evident that the district governments' motivation to promote urban redevelopment derives from this intentional devolution of authority. This is the basis for various systematic arrangements for a division of labour among the actors and for co-operation between the city and district

governments. First of all, city government established the rule that land leased from downtown districts must be used for urban redevelopment. Secondly, the city government put pressure on district governments' through a 'financial index' that district governments must achieve, and land acquisition fees are a major source of revenue for the district governments.¹ This encourages district governments to lease more land in order to reach the objectives defined by the city government. Thirdly, every year Shanghai city government ranks its districts' rates of urban redevelopment. Similar to a financial index, it is an assessment of a district's leadership that is important for career promotion. Through such institutional arrangements, Shanghai city government generated the ambition among district governments to co-operate with foreign investors for urban redevelopment. From the perspective of how power is exercised in public-private collaborations, we argue that, through such specific institutional arrangements, the district governments are in the grasp of a certain 'commanding power' over urban development projects.

There are three issues that the RGSR model we propose tries to explain the partnership between local governments and foreign investment; the logic behind the construction of this apparent project of historical preservation, and, the urban process resulting from the transition in use rights and values. Through the following account of the urban redevelopment project in Taipingqiao, these three issues are further illustrated and discussed.

4. The Launch of the Urban Redevelopment Project in Taipingqiao

4.1 *The Context of the Urban Redevelopment Project in Luwan District*

Luwan district is one of the central areas in Shanghai (Figure 1). During the period from 1900 to 1914, the northern parts of Luwan district were one after another developed as French concessions and people crowded into

the concession after the outbreak of the Sino-Japanese war in the 1930s. The Luwan district remains one of the most densely populated districts in Shanghai. There is a concentration of shanty housing and winding old lanes called *Shikumen* in this district. By 1993, after decades of socialist housing policy, 87.8 per cent of the dwellings in this district consisted of public housing (Luwan District Government, 1998).

After two rounds of extensive urban redevelopment, Luwan's northern and southern areas had become expensive commercial and residential districts. As a result, the old and rundown area in the middle seemed increasingly out of place. Taipingqiao is located in this very area. The area has many historical sites associated with the revolution—for example, the site where the First Session of the National People's Congress took place, which has been accorded the protected status of a national landmark. Before initiation of redevelopment, the Taipingqiao area was 52 hectares in size, with a population of about 70 000 people constituting more than 20 000 households. Rent for public housing is very cheap; a public flat (around 40+ square

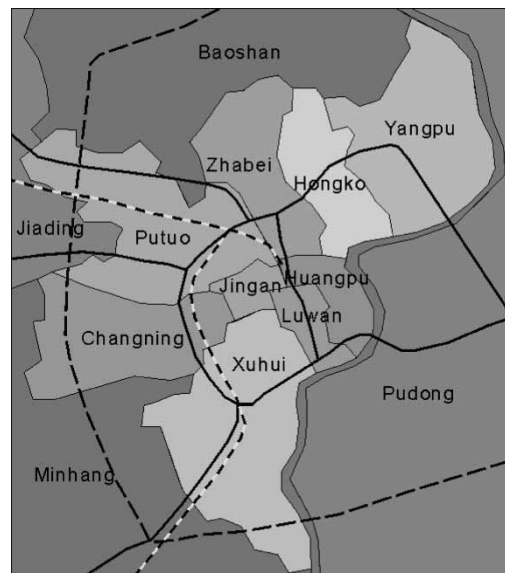


Figure 1. The location of Luwan district in central Shanghai. Scale: 1:200 000.

metres in size) can be rented for RMB10–20 per month. This area was once inhabited by middle-class Chinese people, but the population density continued to rise during various upheavals including the Japanese invasion, the Chinese civil war and the Cultural Revolution. The quality of the environment continued to decline and, eventually, after many appropriations and reallocations, it became an area inhabited by lower-class and middle-class residents (Luwan District Government, 1998).

4.2 The Proposal for Urban Redevelopment Projects and the Participation of Foreign Investors

Since 1992, the Taipingqiao area had been regarded as a district that urgently needed redevelopment, so the district government tried to attract the foreign capital to carry out the redevelopment. However, owing to the high population density and resettlement costs, few developers were interested.

Shui On Group, a Hong Kong real estate company, can be seen as the most important participant in the urban redevelopment project in Taipingqiao, with the exception of the local government. Shui On Group started its business in real estate in Shanghai in the early 1990s and built amicable relations with Shanghai city government and Luwan district government during the days they worked together on projects such as the Urban Hotel and Shui On Square. Then, in 1996, the Asian financial crisis greatly impacted the real estate business in Shanghai and Hong Kong, with many development projects postponed and eventually abandoned. Shui On Group was caught up in the crisis too and soon decided to transfer most of its capital assets to Shanghai. Such a transfer astonished the city and district leaders of Shanghai and a tighter partnership between local government and the Shui On Group was subsequently formed.

On account of the Asian financial crisis, foreign investors withdrew from the market in droves. In such untowards circumstances, the on-going participation of the Shui On

Group, with its investment in Taipingqiao, an area not regarded as a good investment, was most welcome to the local governments. Based on the good partnership they had established before, with a specific negotiation, all 52 hectares of Taipingqiao were leased to the Shui On Group by the district government. This was the first time such a large urban redevelopment project had been undertaken in Shanghai. From the perspective of urban regime theory, it implies that the context empowered developers with a certain degree of 'systemic power', which guaranteed the Shui On Group an advantage on that project.

Although the district governments and the Shui On Group more than once declared that there were no other developers interested in the Taipingqiao project at that time, some Taiwanese businessmen have differing opinions about it. As one of the interviewees said

There were a lot of wrestling matches at that time. To be honest, the head of the district has the power to make decisions, only if he delivers a note to city government ... at that time the city government put pressure on him, saying that there was somebody else interested in the area, and many people came to ask favours ... the timing was a bit delayed, and the rent was increasing (authors' translation).

Although actual prices for rental of lands are not public, it is widely believed that district governments can influence the price of leased lands and their related fees. Heads of district governments play important roles in decision-making. Later, when district governments and developers had arrived at a consensus, the district government leased out the development rights to 52 hectares of Taipingqiao to the Shui On Group and demanded that they finish the development in 10 years. However, the district government did not lease all 52 hectares to the Shui On Group at once. Instead, in order to prevent the withdrawal of the Shui On Group, the district government carefully oversaw the land leasing, leasing the plots in sequence according to each investment item. In this way, the district government maintained a certain degree of

autonomy in their partnership with the foreign investor.

4.3 Agents in the Development Process

The main participants in these development projects include city and district governments, foreign real estate capital, planning and design companies, removal and relocation companies, as well as academic institutes. Figure 2 illustrates the process of 'rent gap seeking' and charts the roles of the related agents in the pro-growth coalition as well as their organisational network. In the following

sections, we will illustrate step-by-step how such an institutionalised partnership including foreign investors, district governments, various levels of state enterprises and academic units operated to provide the necessary resources and realise the seeking out of a rent gap.

In the property transaction deal, the rental terms for Xintiandi (XTD) (plots 109, 112)—the land premium, removal costs and other details—were negotiated with the Shui On Group by the district's planning bureau (in reality by the district government's 'senior leaders team'). The district's 'senior

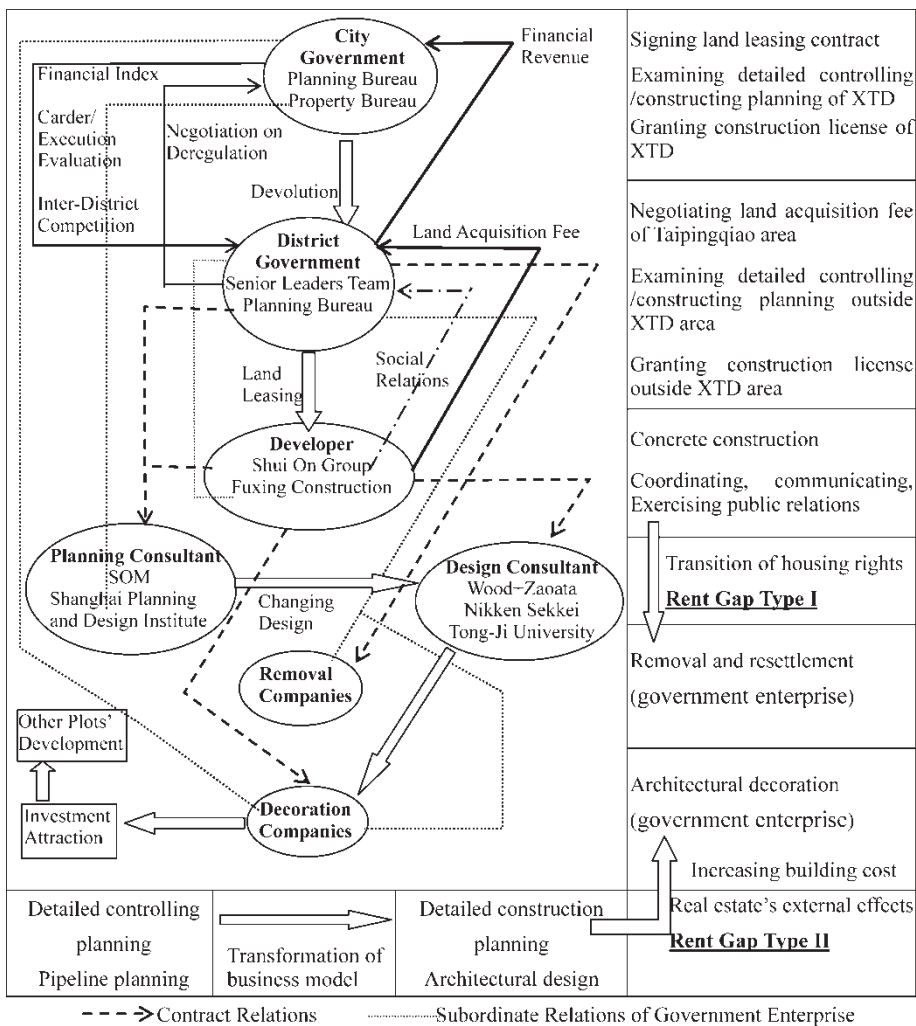


Figure 2. The 'rent gap seeking regime' and development process in the case of XTD/Taipingqiao.

leaders team' comprised the head and deputy heads of the district, as well as heads of various bureaus. The team makes key decisions in the district concerning construction, such as leasing land and appointing a developer. The issuing of construction permits is the responsibility of Luwan District's Planning Bureau, in accordance with an established division of responsibility between the municipality and the district. However, based on understandings obtained from our fieldwork, decisions were in fact simply made by the 'senior leaders team' of the district government.

According to some new regulations governing urban land transactions, all the development projects in Shanghai should be offered in a public auction. However, it is noticeable that the lands included in 'the new round of renovations of old buildings' are exceptions authorised by city and district government.² Thus Luwan district disposed of the subsequent plots for redevelopment in Taipingqiao by including them in 'the new round of renovations', to avoid the necessity of a public auction. The director of the district's planning bureau indicated that other lands in Taipingqiao would likewise be leased to Shui On Real Estate on lawful terms, acceptable to both parties. The 'command power' exerted by the district government in this public-private co-operative coalition is therefore revealed.

Taipingqiao's urban redevelopment was to be a joint venture between Hong Kong's Shui On Group and Shanghai's Fuxing Construction Company, with the former holding most of the shares and the latter having a stake of only 1-3 per cent. Shui On Group's Director is a Hong Kong delegate to the National People's Congress. Shanghai Fuxing Construction is a property development company established by Luwan's district government in 1997. This company has been given responsibility for co-operation with external parties, co-ordination, communication and removals in many of the development projects in the district. According to our fieldwork findings, Shanghai Fuxing Construction obtained a small stake in the

investment as the result of a request from the district government to the Shui On Group, so that the developer could not shut out the government during the development process. This arrangement gave the district government the ability to participate in the entire development process, through this construction company. Although it lacks the authority to make decisions, it can stay abreast of each development project via its board of directors. For the Shui On Group, the intervention of the district government is also indispensable for helping them to co-ordinate with various public departments, so they might navigate more easily through the process required by regulations and for setting plot ratios.

5. The Spatial Formation of Xintiandi (XTD)

The initial planning for Taipingqiao was very different from the version now being regarded as a paragon of historical preservation. What follows is our analysis of the spatial formation of XTD from the perspective of how power was exercised in the pro-growth coalition.

5.1 Modification of Plans

The neighbourhood surrounding the 'site of the First Session of the National's People's Congress', an important historical building included in the development plan, had been previously designated a protected area under the *Law on the Protection of Cultural Relics of the People's Republic of China*. Development was to be regulated according to this law and according to Shanghai Municipality's *Construction Management Regulations*. In the early 1990s, the area was also included as part of the 'Protected Area for the Sinanlu Historical Relics of the Revolution'. However, its designation as a protected cultural landmark, whether under the *Law on the Protection of Cultural Relics* or as part of the 'Protected Area for the Sinanlu Historical Relics of the Revolution', meant little, as the laws offered no specifics about how to protect the original appearance of buildings in the area. In other

words, the law creates considerable ambiguity, which then provides agency for the different groups involved.

The city planning bureau's main focus was on the protected area and the area designated under the *Law on the Protection of Cultural Relics* for construction control. In the approval process, the floorage of other plots in Taipingqiao was raised as a reward for 'protecting' the appearance of the area surrounding the Site of the First Session. Other than that, due to the government agencies' lack of experience with cultural preservation, no further efforts were made to control the construction in that area. This shows that, at that time, officials of the Shanghai municipality who were pushing for the protection of historical buildings did not have a clear understanding of 'preservation'. In 1996, during the planning process, the district government simply told the Shui On Group that the Site of the First Session must be retained in accordance with relevant laws and, in the control provisions approved by the Planning Bureau in 1997, plots 109 and 112 (i.e. XTD), were zoned for 4–5 storey buildings. Apart from the actual Site of the First Session, all of the buildings were to have been demolished and to be rebuilt as 'historical style' buildings for use as restaurants and commercial space.

In 1997, Luwan district government submitted a 'detailed control plan' for the Taipingqiao area to the Municipal Planning Bureau for approval, which was duly granted. The plan was then sent to the Shui On Group for further 'detailed construction planning' and subsequent development. At the outset, the Shui On Group intended to develop hotels and office space (plots 107 and 108). However, with the Asian financial crisis in full swing, many enterprises withdrew from their office space leases in Shanghai, which sent housing prices in Shanghai down by nearly 50 per cent. Hotels, incidentally, require high levels of capital expenditure and returns are slow. As a result, Shui On moved to develop the lower-cost commercial plots 109 and 112 (which later became XTD) as a way of adapting to the circumstances of the time and to the company's financial situation.

If the original plan had been implemented, XTD would not have been created and it is our judgement that the Shui On Group's development of the property would not have been extremely successful. The Shui On Group's original plan was to complete the project according to the approved detailed control plan, turning XTD into a low-cost, 4–5 storey shopping centre. However, Benjamin Wood who was in charge of the detailed construction planning for Shui On, objected to this idea. He presented an alternative design that would erect buildings to the original height, expanding the area under construction and reducing open space, in order to retain as much of the alley-style buildings as possible. Such a design is a form of 'adaptive reuse'.³ After several rounds of negotiation, the Shui On Group, the District Planning Bureau and city government accepted Wood's concept and repositioned XTD as a high-end commercial area, hoping that this development would raise land prices for all of the associated projects and obtain further funds for development.

The Shui On Group subsequently repositioned XTD as a space for restaurants, culture and entertainment, and made it a service area for the CBD, aiming for white-collar employees. They imagined creating a multifaceted culture of 'East meets West' in the area. XTD can be considered as two plots, divided into the North Lane side (plot 109) and South Lane side (plot 112). For the developer, retaining as many of the original characteristics of the architecture as possible would raise construction costs. The entire XTD project underwent several modifications during its construction and the site that resulted presents a wide variety of styles.

5.2 Makeover at Shikumen: The Process of Introducing New Shops

At first, the Shui On Group completed part of the restoration of *Shikumen* in XTD and used one of the buildings as Shui On Group's reception building at that time. The reception building hosted fashion shows, art exhibitions and other cultural activities to try to attract merchants into the area. Shui On Group's



Figure 3. Xintiandi before reconstruction.

strategy was to upgrade the image of the *Shikumen* and to use cultural activities to build up a distinctive atmosphere in the area, transforming the *Shikumen* from an area of old, run-down residences into a high-end, fashionable, cultural district attractive to consumers. The strategy proved successful,

attracting investors from France, Hong Kong, Japan, Taiwan, the US and south-east Asia, including a number of leading global firms. With the XTD brand name gaining recognition, consumers came in droves and the value of shops in the *Shikumen* skyrocketed. Rents for the second wave of merchants to



Figure 4. Xintiandi after reconstruction (2003).

arrive rose by 4–5 times in the 6-month period from August 2001 to March 2002, but investors were still keen. Even ‘modern buildings’ in South Lane that were not part of the *Shikumen* were attractive to investors with an eye towards the foot traffic drawn by North Lane, despite the high rents charged.

5.3 *The Exterior Effect of Real Estate: A Revival of Run-down Areas*

The Taipingqiao and its surrounding neighbourhood saw land prices rising dramatically due to the completion of the park, an artificial lake and XTD. We can observe the impact of XTD by its effect on the development of other plots surrounding Taipingqiao. For example, the ‘XTD Anderson Land Luxury Residence’ was jointly developed by a mainland company and Shanghai Fuxing Construction, and directly used the XTD brand name. House prices ranged from RMB15 000–18 000 and advertising was targeting ‘successful people’—such as the CEOs of domestic and foreign companies. Moreover, other districts close to XTD, such as Nanshi, Huangpu and Jingan, also saw house prices rise by around 20 per cent. Taipingqiao’s real estate value rose even more.

Despite the weakness in the Shanghai property market at the time, the conceptual design introduced by an international designer fundamentally changed the overall business model of the developer. Although the ‘adaptive reuse’ model resulted in high development costs for XTD, it delivered much higher prices for neighbouring plots and buildings, in this way realising the developer’s expected profits. From a commercial standpoint, this approach was successful. In several subsequent projects around Taipingqiao, several other developers are actively trying to work with the Shui On Group, solidifying the Shui On Group’s status as a leader in development in the area.

Although the municipal government’s planning unit lacked substantial ideas for the reuse of the site, this pro-growth coalition managed to obtain municipal government approval, thereby gaining the capability to develop the area through their ability to design and plan,

to nurture the area using solid strategies to recruit merchants, thus successfully achieving their commercial objectives. This operation demonstrates the ‘pre-emptive power’ unique to an urban regime, and successful investment in one area solidified this pro-growth coalition’s long-term, mutually beneficial relations, especially those between the district government and the Hong Kong investor.

The evolution of spatial forms and the effect of the property development on nearby real estate gradually created ‘potential ground rent’ (Smith, 1996). This is demonstrated by the higher property prices created, minus the higher development costs incurred. This creates ‘rent gap type II’, shown in Figure 2.⁴ However, this rent gap was realised through the removal and settlement of inhabitants of public housing that had formerly been located inside the base. The removal process also involved sizeable acquisition fees—i.e. those seen in ‘rent gap type I’ in Figure 2. Inhabitants of the old lanes of *Shikumen* underwent a dramatic transformation of their lives. In the next section, we will explore the process of their removal, which illustrates the transfer of spatial rights and spatial values, and investigate ‘rent gap I’ in detail.

6. Analysis of Residential Relocation

Removal and resettlement are major issues in China’s urban development. Luwan District government officials claimed that around 70 per cent of the land acquisition fee for the project was for removal and resettlement. Resettlement not only affects the cost of development and income for ‘government enterprises’, but also represents a key step in the transformation of property rights, as well for the continuity of the social life of the original inhabitants.

6.1 *The Removal and Relocation Companies and the Relocation Process*

Removal and relocation companies play an important role in the resettlement process. These companies are frequently converted

units of the district government, retaining close relations. As a result, they frequently need to consider their relations with government and cannot expect to profit from each piece of removal work. On the other hand, these 'government enterprises' are also subsidiaries of private property development companies and are in some ways profit-seeking. Thus, in removal and relocation work involving plots where the district government's senior leaders are under fire, after some negotiation, removal and relocation companies may agree not to make a profit from a particular removal project. The company knows that the district government will allocate work for future projects to the same company to allow it to profit.

However, this strategy for earning profits is not the only one available to real estate developers. Given the fact that the development companies are real estate developers charged with distributing houses to displaced inhabitants according to resettlement terms, the removal and relocation company can use resettlement funds transferred by the government (which came originally from the real estate company that won the original land use rights) in order to acquire flats they had previously developed in less desirable areas for the resettlement of the displaced central residents.

Generally, the relocation process starts with the developer negotiating a 'removal price' with the district government that includes the cost of demolishing buildings, transporting persons and 'service charges'. Service charges usually include compensation for affected inhabitants, the cost of buildings for their resettlement and various fees. Developers usually do not calculate how much monetary compensation needs to be allocated to each household and, instead, prefer to calculate the total cost of relocation based on what they feel they can afford for development costs. When negotiating with a developer over relocation charges, the district government has no clear and reasonable price guidelines to follow and instead uses past experience to calculate costs and charges. There are several ways that relocation fees

can add up to a considerable sum of money. First of all, when negotiating prices, district governments and developers commonly take all the relevant fees into account as the cost of relocation. However, what actually happens is that these fees are not really used for the purposes for which they are supposedly intended. For example, the cost of relocation includes charges for building new roads in the area where people are to be resettled elsewhere. Another developer has already paid these charges, so such charges become an extra source of income for the district government. In some cases, when the pro-growth coalition uses relocation funds to out-source the purchasing of resettlement housing to removal and relocation companies, these companies profit in various ways. For example, resettlement houses are usually purchased in less desirable areas at a lower cost. Or the resettlement money might be used to buy commercial housing previously developed by a real estate developer that owns the removal and relocation company in question. The housing provided is likewise situated in less desirable areas with lower real estate values. Moreover, when arranging monetary compensation to residents who have been forced to move, the removal and relocation company usually has the prerogative of lowering amounts given in compensation to increase their own profits. Lastly, we understand that the district government, once having negotiated removal charges with developers, usually sets forth a revised set of standards for conducting the actual removal in order to reduce the cost.

The next stage of relocation is to deploy a 'removal team' in the neighbourhood to act as the front line for direct contact with residents. The removal and relocation unit co-operates with the Neighbourhood Bureau (an administrative unit under the control of the district government), and the local Residents' Committee also provides assistance. The Residents' Committee will usually be asked to take the lead in demonstrating the advantages of relocating, since they themselves will inevitably be obligated to go anyway. Given the close partnership between the

removal and relocation company and the district government, the compulsory removal of inhabitants constitutes an example of 'command power' via public authority.

The residents have little choice about relocating. No public agents were supposed to represent them in the decision-making process. What kind of choices do they have about moving, about compensation, or about where they will relocate?

Although relevant laws have made substantial provisions for calculating compensation, according to our fieldwork findings, inhabitants all knew that the compensation set by the removal unit was the minimum the real estate developer could get away with offering and that it was subject to substantial squeeze. In other words, residents all knew that their compensation could be higher. In this sense, the amount of removal compensation was usually concluded by way of negotiation between the residents and removal companies. For the people of the lower middle class, relocation means that they will be forced to give up cheap rents provided as socialist welfare housing and be required to pay market prices; hence they are keenly interested in negotiating for greater compensation. However, removal and relocation companies tend to cut actual removal costs for their own benefit, creating frequent conflicts between the two sides.

6.2 *The Launching of Relocation in Xintiandi*

There have been around seven million people involved in the urban redevelopment of Taipingqiao. The first movement out of the area started around the central higher ground of XTD, the man-made lake and the park. There are two street blocks in the elevated area of XTD where 2000 households originally lived. According to our fieldwork, when the district government started negotiating with the developer, the average compensation per household was to be RMB200 000–300 000. The developer's total removal cost was RMB650 million. It must be noted that the RMB650 million figure quoted was the price the developer claims they paid to the district government. After attempting to verify this

with various sources, this figure appears to be relatively trustworthy. In terms of the overall development of Taipingqiao, XTD, the artificial lake and the park were areas where residents were comparatively well compensated. In subsequent removals, the company no longer provided 'allocated housing' for free and even the monetary value of compensation was gradually reduced.

In the following passages, based on the timing of relocations and differences in methods of resettlement, we group cases into two categories—namely, 'XTD, artificial lake and the park', on the one hand, and 'plots included in the new removal law (using plot 114 as an example)' on the other, using substantial examples to demonstrate how the 'rent gap' was created.

Basically, XTD, the park and the artificial lake were all cleared of residences using the pre-November-2001 removal procedures, with compensation divided into 'resettlement in publicly owned residences' and 'monetary compensation'. Total compensation was calculated according to the number of inhabitants in the area. The construction, development and relocations for XTD, the artificial lake and the park started in May 2000. The XTD plot and the artificial lake plot involved the removal of homes concentrated in a neighbourhood called Xinsanlin to Pudong and from Suiqing neighbourhood to Minhang. At that time, a household of three who had been allocated a construction area of 20 square metres in 'publicly-owned residences', could exchange their flat for 70 square metres of construction area in these new locations. Using the market price of RMB 2,400 prevailing at the time, this was the equivalent of about RMB 168,000. If the household opted for monetary compensation only, they could receive approximately RMB 130,000 in compensation. Thus, it appeared that choosing 'resettlement in publicly owned residences' (i.e. 'housing by allocation') would be more beneficial to inhabitants. However, from our discussions with residents, compensation for removals was in fact a grey area subject to negotiation. Using the figure of RMB200 000–300 000 that developers

claim was offered as compensation, removal companies in close relation with the district government pocketed RMB40 000–170 000 per household in the process. In other words, the district government profits substantially from the developers' fees, and at the expense of residents they ostensibly represent.

6.3 *The Practice of New Relocation Law*

After November 2001, demolitions and removals were done in accordance with a new law, known as the 'Shanghai Municipality Provisions for Implementing Removal of Urban Residents'. Compensation per household would no longer be calculated using the number of inhabitants as a factor, instead, they would consider only area. According to Luwan's planning bureau, the new law was launched to prevent inhabitants from inflating the number of persons in a particular household, thereby fraudulently increasing removal costs, and to bring compensation for removals more 'in line with market norms'. Take plot 114 in Taipingqiao, which has been zoned as a high-end residential area. The plot contains approximately 2000 households, of whom 60–70 per cent were working-class and 30–40 per cent unemployed workers. Clearing the plot was completed at the end of April 2001. Residents were compensated in accordance with the new law—at that time at RMB4009 per square metre. The compensation to which each household was entitled was to be based on the formula, 'living area $\times$ 1.54 $\times$ RMB4009'. With a living area of 20 square metres, for example, a household was entitled to RMB123 477. Such compensation was a marked reduction from that paid for XTD or for Plot 117.

Many inhabitants are dissatisfied with compensation under the new law. Most of these were living in flats with a living space of just over 20 square metres. Inhabitants thus confront a paradox: residents in Luwan district lack the purchasing power to stay, but do not wish to leave the central area. Yet the necessity of moving creates demand for cheaper housing in the secondary housing

market and the increased demand then drives up prices in the secondary housing market. Current inhabitants simply cannot afford to buy flats in the secondary housing market surrounding the old city using compensation paid under the current removal law. Some buy smaller secondary units in the old city areas that are in turn facing the threat of removals, but most are eventually forced to move to 'rural' areas.

7. Conclusion

We argue that the historical preservation of XTD evolved out of the logic of capital accumulation. The spatial form that has resulted is neither the corner of historical preservation the city officials imagined, nor the primitive blueprint sketched by the developer; instead, the strategy of an 'adaptive reuse' introduced by American architects was successfully applied to the urban redevelopment project of XTD and the value of *Shikumen* has thus received recognition. However, as argued, the spatial formation of XTD reflects a kind of business strategy in which architectural legacies are transformed into symbolic value of real estate (Harvey, 1985; Smith, 1996; Zukin, 1995). In this respect, we agree with He and Wu (2005) that XTD is part of a larger 'property-led regeneration', covering the entire 52-hectare Taipingqiao area.

We also echo Zhu's viewpoint (Zhu, 1999, 2002) that during the process of urban development in China in the 1990s, pro-growth coalitions characterised by enduring co-operative arrangements between the public and private sectors have emerged, and fit the descriptions of 'growth machines' and 'urban regimes' described by Western theories (Logan and Molotch, 1987; Harding, 1995; Stone, 1989, 1993, 1998; Stoker, 1995; Ward, 1996). However, the RGS model proposed by this article differs from Zhu's (1999) model of informal urban regimes (IUR) in three respects.

First, from the perspective of property rights, we found that the IUM model does not deal with the relative division of labour between city and district governments, nor

does it address the reallocation of rights and its transforming effect on the relationship between state and society. On the other hand, RGSR highlights the fact that it is district governments, not the big state enterprises, that become the agents for transferring land rights. Moreover, it also indicates a deeper transformation of the meaning of property rights. With the municipal government's urban policy focused on resolving housing problems and the devolution of authority through institutional reform, the district government was transformed from being responsible for maintaining public housing to becoming a semi-landlord with certain 'transferable rights'. For the district government, granting land use rights to foreign investment enterprises while obtaining resettlement fees at the same time allows a resolution of the local housing problem in one go. This approach implements monetary resettlement in stages, pushing residents into the commercial housing market and removing the obligation of repairing and maintaining public housing. In other words, in the 'state-work unit-inhabitant' relationship, the role of the 'work unit' has been removed via this process.

Secondly, IUR adopts a model of local state corporatism (LSC) (Oi, 1992, 1995) for the interpretation of the role of local governments. The LSC model assumes that officials are not corrupt. Apart from being unrealistic, such assumptions also constrain investigation of the logic employed by agents of the local governments. RGSR goes beyond the assumption that government officials are not corrupt, and emphasises that the potential benefits from the 'rent gap' constitute the material foundations for 'rent seeking'. Our example shows that land rentals bring to the district government huge 'extra-budget revenues' that are not tightly controlled by audit requirements, and substantial 'rent seeking' opportunities occur in this area.

Thirdly, the concern about rent seeking and market failure, in the IUM model, comes from the central government's loss of rent over the course of gradual reform. However, the RSGR

model does not suggest that the surplus land rent exploited by the local pro-growth coalition comes from the central government's allocation. On the contrary, we suggest that the central government should not be conceptualised as the *de facto* landlord. The RGSR model proposes that the two types of rent gap originate from the original inhabitants' loss of use value and the implicit deterioration of their rights after they are pushed into the commercial housing market. We believe that the role of the central government can be conceptualised as one of the active participants in a RGSR; indirectly pushing up rental values via land use, the taxation system, promotion of officials and relevant policy guidelines. Although this research did not extend to cover the role of the central government, it conceptually challenges assumptions about the central government in the IUR model.

Lastly, this paper attempts to present some ideas for employing the urban regime theory in different social contexts (Wood, 2004), as well as suggestions for further research. In Western theory, the term 'regime' refers to the mode of exercising power via public-private collaboration on urban development projects and indicates 'who governs' in an urban regime. To introduce this question for further examination of urban governance in China would definitely be a potential avenue for analysis, yet the basic conditions it assumes are noteworthy. First of all, the dominance of the Chinese Communist Party does not accord with Western systems of democracy (especially its election mechanisms), nor does it need to respect the multirights subject and citizenship to maintain governance so far. Secondly, Western regime analysis generally assumes that there is only one local government facing various capital blocs and interest-groups. However, in China, as is the case in Shanghai, there are at least two levels of government—city and district—that are relevant. Furthermore, as the RGSR model emphasises, the state apparatuses themselves are important interested subjects and participating agents. Thus, we suggest that intragovernmental governance—how various

levels and departments within China's state apparatus are governed for urban development projects—is a subject worthy of further exploration. Further to conceptualise the public–private partnership in the context of 'hybridised' market transition and political-institutional reform presents possibilities for urban research in China that might contribute to theoretical development.

Notes

1. According to the regulations for the distribution of land acquisition fees in 1993, generally city government acquired 15 per cent of the fees while district governments claimed the remaining 85 per cent.
2. The municipal government put forth a policy of starting 'the new round of renovations of old buildings' in 2001, targeting the completion of renovation of Shanghai's 20 million square metres of old lanes in the early years of the 21st century.
3. A classic example of adaptive reuse is the design of Quincy Market, in Boston, by Benjamin Thompson.
4. In this paper, two origins of rent gaps are defined with reference to Marxist viewpoints. Rent gap type I is defined according to the geographical location, while rent gap type II is defined by the increasing rate of return from the investment in improving properties as they are brought in.

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